Budget variances at Harbour Street Cafe

Teacher guidance and answers | Original TBS classroom practice

Use this lesson after students have met the purpose of budgets and the idea of variance. Students calculate variances, decide which ones to investigate, link them to causes and then judge how to set the next budget. The tasks are planned to take about 55 minutes and have not been trialled in a classroom; Task 1 has about 24 cells and Task 4 is a written paragraph, so allow about 70 minutes in the timetable or split the lesson in two. The minutes include brief answer checking within each stage but not handing out materials or a full class plenary. Suitable for classes studying Edexcel 9BS0 Theme 2, in Year 12 or as Year 13 revision.

Curriculum fit

Pearson Edexcel A level Business 9BS0, Specification Issue 1 (September 2014), Theme 2, section 2.2.4 Budgets: (a) purpose of budgets, (b) types of budget: historical figures and zero based, (c) variance analysis and (d) difficulties of budgeting. Checked against the archived Issue 1 specification; the live Pearson course page was opened on 8 October 2026 and showed no withdrawal notice in the fetched text, so please confirm the specification for your cohort with your exams officer. This is a TBS lesson, not a Pearson resource; it is not endorsed by Pearson and uses no Pearson exam questions or mark scheme. The specification names variance analysis but does not define how variances are presented. Favourable and adverse are standard terms; the sign convention (actual minus budget) and the £250 and 20% investigation rule are conventions chosen for this lesson, stated in the handout.

All business details and numbers are fictional. The answers are indicative teaching guidance only. There is no official mark tariff, level descriptor or AO allocation for these tasks and no grade claim is made.

Lesson plan (about 55 minutes of tasks, estimated)

Stage	Minutes	What happens
Starter: favourable or adverse?	5	Four quick classifications.
Task 1: calculate the variances	14	Variance table, then totals and profit variance.
Task 2: which to investigate?	8	Apply the investigation rule.
Task 3: what happened?	10	Link the owner's notes to variances.
Task 4: set April's budget	12	Historical versus zero-based; written recommendation.
Exit ticket	6	One calculation and one judgement.
Total	55	

45-minute version: starter 4, Task 1 11, Task 2 6, Task 3 8, Task 4 10, exit ticket 6. Give each pair half of the Task 1 table and share results; set Task 3b as homework and, for exit ticket b, ask students to use any March variance and say why a favourable cost variance might hide a problem; ask for about 60 words in Task 4. This timing has not been trialled. The 45 minutes are task time only, so in a real 45-minute period, with handing out and feedback, move the exit ticket to homework.

Support and extension

Support: go through the worked first row of Task 1 with the class and show that revenue below budget is adverse while costs below budget are favourable. Extension, beyond the specification content: sales volume was 5% below budget at an unchanged price. Ask what ingredient cost you would expect (£5,400 x 0.95 = £5,130) and how far actual ingredients (£5,643) are above that (£513, 10.0%). The gap matches the 10% ingredient price rise in the owner notes in this simplified case. This shows why a variance against a fixed budget can hide a cost problem, and why ingredients, which just miss the investigation rule, still deserve a look.

Answers: starter and Task 1

Indicative guidance for teachers. This is not an exam board mark scheme and carries no marks or grades.

Starter: (i) F; (ii) A; (iii) F; (iv) A.

March (£)	Variance (£)	Variance (% of budget)	F or A
Sales revenue	-900	-5.0%	A
Ingredients	+243	+4.5%	A
Staff wages	-300	-4.8%	F
Rent	0	0.0%	none
Energy	+250	+27.8%	A
Marketing	-150	-25.0%	F
Other costs	-20	-5.0%	F

Working: actual minus budget for each line; percentage = variance / budget x 100 (for example 243 / 5,400 = 4.5%; 250 / 900 = 27.8%).

Task 1b	Budget	Actual	Variance
Total costs	£15,600	£15,623	+£23 (A)
Profit (revenue - total costs)	£2,400	£1,477	-£923 (A)

Working: budget costs 5,400 + 6,300 + 2,000 + 900 + 600 + 400 = 15,600; actual costs 5,643 + 6,000 + 2,000 + 1,150 + 450 + 380 = 15,623. Profit variance = revenue variance -900 and cost variance +23 gives -923. The cost variances almost cancel (some favourable, some adverse), so the profit shortfall is mostly the revenue shortfall.

Answers: Task 2

a. Rule: investigate if the variance is more than £250 or more than 20% of budget. Compare sizes only, ignoring the minus sign. Sales revenue (£900 is more than £250): yes. Staff wages (£300 is more than £250): yes. Marketing (£150 is not more than £250 but 25.0% is more than 20%): yes. Energy: yes (£250 is not more than £250, but 27.8% is more than 20%). Ingredients (£243 is not more than £250; 4.5% is not more than 20%): no. Rent (nil): no. Other costs (£20; 5.0%): no.

b. Energy is exactly £250, which is not more than £250, so the £ test alone does not trigger it, but 27.8% is more than 20%, so it does meet the rule on the percentage test. Accept an answer that notes the rule is "or".

Answers: Task 3

Indicative guidance, not an exam board mark scheme.

a. Indicative matching (accept reasoned alternatives): (1) cold weather and longer heating: energy +£250 (A). (2) ingredient prices up about 10% (assume all ingredient spend is affected): ingredients +£243 (A). Sales volume was 5% below budget at unchanged selling prices, so at the budgeted prices ingredients would have cost about £5,130; a 10% price rise on that gives £5,643, the actual figure in this simplified case (5,400 x 0.95 x 1.10). The +£243 variance therefore hides a 10% price rise that was partly masked by lower volume. (3) barista left and was not replaced: staff wages -£300 (F); also may reduce sales and revenue. (4) promotion cancelled: marketing -£150 (F); may also reduce sales. (5) road closure: sales revenue -£900 (A). The notes do not say which cause explains how much of the shortfall, so accept the road closure, the missing barista or the cancelled promotion, alone or combined, and do not mark a particular split right or wrong.

b. Look for a link between the cause and controllability: the weather and road closure are outside the owner's control; the supplier price rise can be partly managed by changing supplier or menu; the unfilled barista post and the cancelled promotion may have been management decisions (the notes do not say), so accept answers that state their assumption; either could have had knock-on effects on revenue. Strong answers say the favourable wages and marketing variances may have contributed to adverse revenue.

Answers: Task 4

Indicative guidance. Historical (A): easy and quick; uses real figures; but copies March's one-off events (cold weather, road closure, the missing barista) into April and may build in waste unless the owner adjusts for known changes. Zero-based (B): forces the owner to justify each cost and could cut costs that are not producing results, such as marketing that does not lead to sales; but takes time and needs information the owner may not have. Strong answers choose one, quote figures (for example the £923 profit shortfall, the £250 energy variance or the £900 revenue shortfall) and name a difficulty of budgeting: forecasting sales is uncertain, external events are unpredictable, a low budget may demotivate, or a budget can be missed through inaccurate assumptions. Both choices are acceptable if justified.

Look for correct figures, a clear link between the variances and the budgeting method, a difficulty tied to the case and a conclusion. Do not award a grade or percentage from these tasks.

Answers: exit ticket

a. Variance = 6,615 - 6,300 = +£315; 315 / 6,300 x 100 = 5.0%; adverse, because wages are higher than budgeted. Under the Task 2 rule this variance (more than £250) would be investigated.

b. Example: staff wages were £300 below budget (favourable), but this was because a barista left and was not replaced, which may have cut sales; marketing was £150 below budget because a promotion was cancelled, which may also have cut sales. A favourable cost variance can hide lower service or lost revenue.

Sources and limits

Curriculum source: Pearson Edexcel Level 3 Advanced GCE in Business specification, Issue 1, September 2014, Theme 2, section 2.2.4 (printed page 15). The specification verifies the topic scope only. The tasks, figures, timings and guidance are original TBS teaching design.